



KATHRYN K ACADEMY

The Complete Business Plan

*Kathryn K Academy — strategy, market, product, financial model &
final verdict*

01 — EXECUTIVE SUMMARY

Kathryn K Academy — Digital Makeup Education Business

Prepared for: James Forycki (Gold Coast, QLD) · Prepared: 15 July 2026 · Anniversary date: 19 July 2026

The one-paragraph version

Turn Kat's 12+ years as a working Gold Coast makeup artist — and the 1-on-1 lessons and group training she **already sells** — into a three-tier digital education business under her existing brand (Kathryn K / @kathrynmua), launched with under \$2,500, marketed organically through Instagram and TikTok, and scaled toward a \$1M annual run-rate through a ladder of one entry course, one career course, and one flagship pro program with live seminars. Digital products carry ~90% gross margins, zero inventory risk, and use skills Kat demonstrably has today.

Strategic decision: digital-first, Lash Lock deferred

The original directive proposed **Lash Lock**, a physical under-eye fallout shield. The directive explicitly permits repositioning when it creates a stronger business, and the evidence is one-sided:

Factor	Physical tool (Lash Lock)	Digital education suite
Startup capital	Prototyping, tooling, MOQs, freight	Camera she owns + ~\$150/mo software
Inventory risk	Real and front-loaded	Zero
Gross margin	~50–65% (ESTIMATED)	~85–92% (ESTIMATED)
Copyability	High (silicone shields are commodity items on AliExpress)	Low — the product IS Kat's expertise and personality
Proof of demand	None yet	She already sells lessons and training (VERIFIED)
Time to first dollar	Months	Weeks

Decision: build the education business first. Lash Lock survives as a Year-2 ecosystem extension (a branded tool sold to an audience that already exists), covered in 03_PRODUCT_SUITE_SPECIFICATION.md and the roadmap. This is a repositioning within the mission, not an abandonment of it.

The three products

Tier	Product	Format	Price (AUD, ESTIMATED)
1	The Beginner's Blueprint	Self-paced online course, ~4 hrs video	\$199 (launch \$149)
2	The Working Artist Kickstart	Self-paced + templates + Australian business setup module	\$799 (launch \$649)
3	The Master Artistry Program	12-week cohort: full pro skillset incl. SFX, live online seminars; VIP adds 2-day in-person Gold Coast intensive	\$2,995 / VIP \$3,995

All certificates are **certificates of completion** — **non-accredited**, stated plainly (ASQA compliance, see audit doc).

Verified foundation (from live research, 15 July 2026)

- **VERIFIED:** Kat is a Gold Coast professional MUA, 12+ years, specialising in bridal, glamour, photographic, SFX, festival and creative makeup; trained at Academy of Makeup Brisbane (2009). Sources: [kathrynmua.com](#), [About page](#) (indexed), [Instagram @kathrynmua](#) (~9,827 followers), [Facebook](#).
- **VERIFIED:** She already offers 1-on-1 makeup lessons and group training — direct evidence people pay her to teach.
- **VERIFIED:** Australian online makeup courses sell at \$1,198–\$2,999+ (QC Makeup Academy \$1,198–1,498; Academy of Makeup \$1,799; Kryolan \$2,999 with kit; Tamarua \$1,600–2,000). Sources in `02_AUDIT_MARKET_AND_CUSTOMER.md`.
- **VERIFIED:** Non-accredited courses are legal to sell in Australia but must never be marketed as accredited (ASQA).

The honest \$1M answer

\$1M in year one from a 9.8k-follower account is a **breakout scenario, not a base case**. The package includes the full step-by-step to a \$1M run-rate — but gated: the base case is ~\$180–280k year one, and every scenario states exactly what must be true for the next one to become realistic. Do not spend ahead of evidence. Full model in `06_FINANCIAL_MODEL.md`; conditions in `12_RED_TEAM_AND_VERDICT.md`.

Verdict (Round 20 summary)

GO AFTER VALIDATION. Launch the validation sprint (waitlist + founding-member presale of Tier 2) within 14 days for under \$1,000. Green light Tier 3 only after 15+ paid founding members. Full rules in `04_VALIDATION_PLAN.md`.

Critical ownership warning (read before the anniversary)

The brand asset here is **Kat's name, face and reputation**. A structure where James holds 100% of a company trading on her personal identity, without a written agreement, is the single largest risk in this plan — legally (she owns her name and likeness) and personally. Recommended structure, presented as her opportunity with a documented path to equity, is in `10_OWNERSHIP_ROLES_OPERATIONS.md`. This requires an Australian accountant and commercial lawyer before incorporation.

Package contents

File	Covers (directive rounds)
<code>02_AUDIT_MARKET_AND_CUSTOMER.md</code>	Platform audit, customer problem, market & competitors (R1–2)
<code>03_PRODUCT_SUITE_SPECIFICATION.md</code>	Concepts, scoring, full product specs, production guide (R3–4, R10)
<code>04_VALIDATION_PLAN.md</code>	Validation system, GO/IMPROVE/PIVOT/STOP rules (R5)
<code>05_BRAND_GUIDE.md</code>	20+ names scored, brand system, visual/creative briefs (R6–7)
<code>06_FINANCIAL_MODEL.md</code>	Budgets, pricing, unit economics, 4 scenarios (R9, R11–12)
<code>07_CONTENT_SYSTEM.md</code>	100 ideas, 50 hooks, 30 scripts, calendar, KPIs (R13)
<code>08_HIGGSFIELD_AI_SYSTEM.md</code>	Real/AI-assisted/generated split, 30 prompts (R14)
<code>09_WEBSITE_AND_FUNNEL.md</code>	Site map, page copy, email sequences (R15)
<code>10_OWNERSHIP_ROLES_OPERATIONS.md</code>	Structure, roles, operating system (R8, R16)
<code>11_ROADMAP.md</code>	90-day plan + 12-month path to \$1M run-rate (R17)
<code>12_RED_TEAM_AND_VERDICT.md</code>	Expert council, red-team attack, final verdict (R18–20)
<code>13_ANNIVERSARY_PRESENTATION.md</code>	Complete 28-slide deck copy (R21)
<code>14_LETTER_TO_KAT.md</code>	Founder letter

File	Covers (directive rounds)
15_BUILD_HANOVER.md	Build instructions for deliverable files (R22)

02 — BRAND AUDIT, CUSTOMER PROBLEM & MARKET REVIEW

(Directive Rounds 1–2, plus full audit of Kat's existing platforms)

Evidence labels used throughout: **VERIFIED** (found in live research), **ESTIMATED** (reasoned from verified data), **ASSUMED** (sensible assumption, clearly needing confirmation), **RVAL** (requires real-world validation).

PART A — AUDIT OF KAT'S CURRENT PLATFORMS

What exists today (VERIFIED, 15 July 2026)

Asset	Status	Notes
kathrynmua.com	Live (Squarespace-style site; blocks bots, indexed pages confirmed)	Pages: Home, About, Gallery, Creative/Art, Clients, Contact
@kathrynmua	~9,827 followers	Bio: "Kat 📍 GOLD COAST MAKEUP ARTIST"
@kathrynmua_	Second IG account	ASSUMED: creative/overflow account
Facebook: Kathryn K - Makeup Art	Live	Gold Coast QLD
Email	hello@kathrynmua.com	
Services	Bridal, SFX, festival, glamour, photographic, special events, creative; 1-on-1 lessons and group training	12+ years experience; Academy of Makeup Brisbane cert (2009)

Audit findings

Strengths 1. **She already sells education.** 1-on-1 lessons and group classes are live services (VERIFIED). This is the single most important fact in this plan: demand for *Kat teaching* is proven at small scale, not hypothetical. 2. **Rare skill breadth.** Bridal + SFX + editorial + festival in one artist is uncommon; most course competitors teach only "pretty makeup." SFX is the differentiator for the flagship tier. 3. **12+ years and a real client book** — authentic authority, which faceless course academies cannot copy. 4. **Clean brand handle** consistent across IG/FB/web.

Weaknesses (fix during the 90-day plan) 1. ~9.8k followers is a warm but small audience (VERIFIED). Organic reach must grow 5–10× to support the larger revenue scenarios. 2. No email list evidence (ASSUMED none or minimal — RVAL). Email is where course launches actually convert; this is priority #1 infrastructure. 3. Website is a service brochure, not a funnel: no lead magnet, no waitlist, no products (VERIFIED by page structure). 4. No TikTok / YouTube presence found (RVAL — check with Kat). Education content massively outperforms on TikTok; competitors are weak there. 5. Two IG accounts split her audience (ASSUMED) — consolidate or give the second a distinct job (e.g. SFX-only). 6. Revenue is 100% time-for-money today; income capped by her calendar. That is exactly the problem this business solves *for Kat herself* — which becomes the founder story.

PART B — ROUND 1: THE CUSTOMER PROBLEM

Customer 1 — "Aspiring Aimee" (primary, Tiers 1–2)

18–34, Australian, loves makeup, wants to become a paid MUA or at least stop wasting money on products she can't use properly.

- **Problem:** Cannot bridge the gap between YouTube tutorials (free, fragmented, not structured, wrong for her face/climate) and formal beauty college (\$1,500–\$5,000, VERIFIED, often campus-based, slow).
- **Severity/frequency:** Every application; blocks a career decision. ESTIMATED strong — beauty education searches and course providers proliferate at these prices, which only happens where demand exists. RVAL: confirm via Kat's DMs and validation sprint.
- **Current solutions & weaknesses:** free YouTube (no structure, no feedback, no path to income); TAFE/colleges (expensive, inflexible); big online academies like QC (generic, foreign-taught, no Australian business context, no live feedback, no real artist relationship).
- **The unmet piece nobody sells well:** "how to actually make money as an MUA in Australia" — ABN, GST thresholds, insurance, pricing, contracts, kit-building on a budget. VERIFIED gap: mainstream course listings emphasise technique and kits, not Australian freelance business setup.

Customer 2 — "Working Wendy" (Tier 3)

Qualified or self-taught artist, 1–5 years in, earning inconsistently. Wants pro-level skills (editorial, SFX), confidence to charge more, and a mentor who is visibly working in the industry.

- **Problem:** Skill ceiling + pricing ceiling; SFX training is scarce outside capital-city colleges. Severity high — this is her income. ESTIMATED/RVAL.
- Professionals experience the problem differently from home users: they need advanced technique, speed, kit hygiene at scale, and business systems — this justifies a separate flagship tier rather than one mega-course.

Is the problem commercial?

Yes — with evidence. People already pay Kat to teach (VERIFIED); competitors sustain \$1,198–\$2,999 price points (VERIFIED); the Australian-business-setup angle is visibly underserved (VERIFIED gap in competitor curricula). Final confirmation comes from the validation sprint, not this document.

PART C — ROUND 2: MARKET & COMPETITOR REVIEW

Competitor comparison (all VERIFIED from live listings, July 2026)

Competitor	Offer	Price (AUD)	Weaknesses vs Kat
QC Makeup Academy	Master Makeup Artistry, self-paced online	\$1,198 sale / \$1,498	Canadian, generic, no Australian business content, no live cohort, faceless tutors
Academy of Makeup	Certificate in Makeup Artistry + kit	\$1,799	Institutional, kit-padded price, no creator-style relationship
Kryolan AU	Advanced Certificate (campus)	\$2,999 w/ kit, \$2,400 without	On-campus only, brand-locked products
Tamarua Beauty Academy	Live online beginners/intermediate	\$1,600–\$2,000	Small brand, limited advanced/SFX path
Australian Beauty School	Online certificate, "from \$41/week"	~\$2,500–5,000 range	Subscription-priced, impersonal
Online Courses Australia	Micro-credential bundles	from \$25/week	Commodity content, zero artist brand
Rae Morris / Rae Morris LIVE	Masterclass book + membership portal w/ monthly lives	Book retail; membership pricing not public	The model to emulate at the top end — but premium-editorial only, no beginner path, no business training
Free YouTube/TikTok	Tutorials	\$0	No structure, no feedback, no certificate, no career path

Price-band map (VERIFIED range)

- \$0: social content (acquisition layer, not a competitor)
- \$25–41/week subscriptions: commodity micro-courses
- **\$149–799: relatively empty in Australia for structured, artist-led beginner → career products ← Tier 1 & 2 white space**

- \$1,198–1,999: mainstream online academies
- \$2,400–5,000: advanced/campus certificates ← Tier 3 sits here on value, undercutting campus prices while adding live access

White-space opportunities (each with its evidence)

1. **Australian freelance business setup for MUAs** — no major competitor curriculum found covering ABN/GST/insurance/pricing/contracts (VERIFIED absence in listings; RVAL by buying/reviewing one competitor course during validation).
2. **Personality-led education** — the AU academies are institutional; the global creator-led model (Rae Morris LIVE) proves artists-as-brands command premium loyalty. Kat is the AU/Gold Coast version of this play. ESTIMATED.
3. **SFX for working artists, online + short in-person intensive** — SFX training is largely locked inside full-time campus programs. ESTIMATED/RVAL.
4. **Under-\$800 career-starter tier** — between free content and \$1,200+ academies. VERIFIED gap in the price map above.

Customer complaints about incumbents (ESTIMATED from category patterns; RVAL via review mining during validation week 1)

Slow/no feedback on submitted work; outdated videos; kit upsells of poor product; certificates that employers ignore; no help getting actual clients. Each maps to a deliberate feature in `03_PRODUCT_SUITE_SPECIFICATION.md`.

Regulatory note (VERIFIED — shapes all copy)

Only RTOs may deliver **accredited** training, and implying accreditation is an offence ([ASQA](#); [NOC guide](#)). Rules for this business: never use "nationally recognised," "accredited," or bare "Certificate III/IV"-style naming; issue "Certificate of Completion — Kathryn K Academy (non-accredited professional training)"; add a plain-English FAQ entry. Makeup artistry is not a licensed occupation in QLD (ESTIMATED — confirm with lawyer), so non-accredited training is the industry norm; this is a compliance point, not a business blocker.

03 — PRODUCT CONCEPTS, SCORING & FULL PRODUCT SPECIFICATION

(Directive Rounds 3–4, plus Round 10 adapted: production guide for digital products)

ROUND 3 — CONCEPTS CONSIDERED AND SCORED

Eight credible concepts were assessed. Scores are /10 per criterion, weighted total /100 (weights: demand evidence ×2, margin ×2, ease for Kat ×2, content potential ×1.5, differentiation ×1.5, risk inverse ×1).

#	Concept	Demand ev.	Margin	Ease	Content	Diff.	Risk (10=low)	Total /100
1	Beginner self-paced course	8	9	8	9	6	9	81
2	Career course + AU business setup	8	9	7	8	9	8	82
3	Flagship pro program w/ SFX + live seminars	7	8	6	9	9	7	76
4	Monthly membership ("Rae Morris LIVE" style)	6	8	4	7	7	6	63
5	1-day in-person Gold Coast workshops only	9	5	9	6	6	8	70
6	Digital templates/kit-list micro-products (\$29–49)	5	9	9	5	4	9	65
7	Lash Lock physical fallout-shield tool	3	5	3	8	4	3	44
8	Bridal-specialisation course	6	9	7	7	7	8	72

Selections (as the directive requires): - **Best MVP:** #5 + #6 hybrid — a paid live workshop and a \$29 kit guide can be sold *this month* to validate (see 04_VALIDATION_PLAN.md). - **Best consumer product:** #1 Beginner course. - **Best premium product:** #2 Career course (premium on value density, accessible on price). - **Best professional product:** #3 Flagship program. - **Best long-term ecosystem:** #1 → #2 → #3 ladder, then #4 membership (year 2, for retention), then #8 as a specialisation add-on, then #7 **Lash Lock as a Year-2 physical brand extension** sold to the by-then-existing audience — reversing the risk order of the original directive. Concept 7's score explains the strategic pivot: worst demand evidence, worst ease, worst risk.

ROUND 4 — THE THREE HERO PRODUCTS (FULL SPECIFICATION)

Names below are recommended finals (scoring in 05_BRAND_GUIDE.md). All prices AUD incl. GST, ESTIMATED pending validation.

TIER 1 — The Beginner's Blueprint — \$199 (launch \$149)

"Makeup that finally makes sense — from a working artist, not an algorithm."

- **Customer:** Aspiring Aimee; also everyday consumers who just want skills. 18–45.
- **Format:** Self-paced, ~4 hours video in 8 modules, lifetime access, phone-filmable production standard (high quality but authentic).

- **Curriculum:** 1) Skin theory, prep & Australian-climate longevity · 2) Colour theory & undertones · 3) Base: match, correct, conceal · 4) Eyes I: shapes & everyday looks · 5) Brows & lashes · 6) Blush/bronzer/highlight placement by face shape · 7) Lips & finishing · 8) The 15-minute full face + hygiene fundamentals.
- **Includes:** printable face charts, budget vs pro kit list (AU retailers), private community space, Certificate of Completion (non-accredited, stated).
- **Repeat-purchase hooks:** seasonal look packs (\$29–49), upgrade credit toward Tier 2 within 60 days.

TIER 2 — The Working Artist Kickstart — \$799 (launch/founding \$649)

"From 'I love makeup' to your first paying clients — the full Australian playbook."

- **Customer:** Aspiring Aimee ready to earn; hobbyists formalising side income.
- **Format:** Self-paced core (~10 hrs, 12 modules) + fortnightly live group Q&A for the first cohort + templates vault.
- **Curriculum — Part A, Client-ready artistry (7 modules):** consultation & skin analysis; bridal & event makeup start-to-finish; photographic makeup (flash vs natural); mature skin & diverse skin tones; speed & setting for QLD heat/humidity; working on real faces (Kat's real client footage with consent); kit building at \$500/\$1,500/\$3,000 levels.
- **Curriculum — Part B, The Australian MUA business (5 modules):** ABN registration, sole trader vs company basics, GST threshold awareness, insurance (public liability/product), record-keeping (*general information, not financial advice — stated in-product*); pricing & packages for the AU market; contracts, deposits & no-show protection (lawyer-reviewed templates); getting the first 10 clients (local SEO, IG, vendor networks with photographers/celebrants/salons); kit hygiene & basic compliance.
- **Includes:** contract + invoice + client-intake templates, pricing calculator spreadsheet, 90-day launch checklist, community, Certificate of Completion (non-accredited).
- **This is the validation product** — presold as a founding cohort before full production (see `04_VALIDATION_PLAN.md`).

TIER 3 — The Master Artistry Program — \$2,995 · VIP \$3,995

"The complete professional standard — taught live, start to finish, including SFX."

- **Customer:** Working Wendy; ambitious Tier-2 graduates. Cap: 20–30 per cohort, 2–3 cohorts/year.
- **Format:** 12-week guided cohort. Weekly module drops + **weekly 90-minute live online seminar** (taught + critique of submitted work) + community. **VIP:** adds 2-day in-person intensive on the Gold Coast (hired studio, max 10, hands-on SFX day + editorial shoot day with photographer, portfolio images included).
- **Curriculum arc:** Weeks 1–3 pro base/complexion mastery & advanced colour · 4–5 editorial & runway · 6 airbrush + camera-ready (4K/HD) · 7–9 **SFX block:** wounds/bruising/ageing, prosthetic basics & bald caps, product safety and skin-safe materials · 10 speed, set etiquette, working with photographers/directors · 11 portfolio building & pricing at pro level · 12 business scaling: agencies, film/TV pathways, teaching income.
- **Includes:** graduate directory listing, personalised critique on 6 submitted assignments, Certificate of Completion (non-accredited, stated), alumni community.
- **Gate:** built only after Tier 2 validation passes and 8+ deposits are held for cohort 1.

Ecosystem & repeat purchase (directive: "capable of expanding beyond one product")

Order bumps (\$29–49 look packs, kit checklists) → Tier upgrades → annual alumni membership (year 2, ~\$29/mo) → in-person workshop calendar → **Lash Lock physical tool** (year 2: by then there is an audience to validate shape/price with, an organic channel to launch through, and cash flow to fund a small tooling run — every problem that kills it as a first product disappears when it's product #5).

PRODUCTION GUIDE (Round 10, adapted from manufacturing to course production)

Equipment (mostly owned already — ASSUMED; budget in `06_FINANCIAL_MODEL.md`): modern phone camera (4K), \$80–150 wireless lav mic (Rode Wireless GO or budget equivalent), \$60–120 key light + existing ring light,

phone tripod. Studio = Kat's existing workspace. Total new gear target: **under \$400**.

Platform stack (ESTIMATED monthly): Thinkific or Kajabi for hosting (\$59–199/mo — start Thinkific Basic); Stripe/PayPal (~1.7–2.2% + fees); MailerLite or Kit for email (free → \$30/mo); Canva Pro (\$18/mo); CapCut (free) or a contract editor later. **Total fixed stack at launch ≈ \$110–250/mo.**

Production process per course: outline → slide/demo split → batch-film in 2–3 full days per tier (checklist: clean audio, consistent framing, natural light + key light, model releases signed for every face on camera) → edit → upload → caption (accessibility + retention) → QA watch-through at 1.5×.

Quality-control checklist: audio clarity test on phone speaker · colour accuracy of swatches on 2 screens · every claim in business modules cross-checked against current ATO/ASIC public guidance with "general information only" disclaimer · model consent forms filed · no accreditation implications anywhere · captions on all videos.

Risk reduction (adapting the directive's supplier-risk list): no large upfront spend before presale evidence; film Tier 2 only after founding members pay; contracts template reviewed by an Australian solicitor once (~\$300–600, ESTIMATED) then reused; public-liability + professional-indemnity insurance quote before first in-person intensive (RVAL: broker quote); refund policy published (14-day on self-paced, cohort-specific terms for Tier 3) consistent with Australian Consumer Law (lawyer to confirm wording).

04 — VALIDATION BEFORE SPENDING

(Directive Round 5 — no major spend before evidence)

Principle: Kat's audience is warm but small. Every dollar of production spend is gated behind a paying-customer signal. Digital products make this easy: the "prototype" is a presale page and a live workshop, not tooling.

The four validation instruments (total cost < \$1,000 — see budget 1)

1. Audience-demand probe (cost: \$0, days 1–7)

- Kat posts 3 IG stories with polls: "Would you take an online course from me?"; "What's stopping you doing makeup professionally?"; "Course topic you'd pay for first?" + a DM keyword ("BLUEPRINT") auto-reply via ManyChat free tier.
- Mine her existing lesson clients: 10-minute calls with 5 past students — what did they want more of, what would they pay?
- Measures:** problem resonance, topic priority, language customers actually use (feeds all copy).

2. Waitlist landing page (cost: ~\$50–150, days 3–10)

- One page (Carrd \$19/yr or Squarespace add-on to her existing site): promise, 3 bullets, email capture, "founding member" framing. Link in bio on both IG accounts + FB.
- Measures:** waitlist conversion. Benchmarks (ESTIMATED, creator-economy norms): ≥3% of profile visitors joining = strong; 300+ emails in 30 days from ~10k followers = strong.

3. Paid micro-workshop — the MVP (cost: ~\$0–100, revenue-positive, weeks 2–4)

- 90-minute live Zoom class: "Bridal-Ready Base: the 5 mistakes I see every week" — \$29–49, capped at 40 seats. Sell via IG + waitlist only.
- Measures:** will this audience *pay* and *show up*; live teaching format check; recording becomes Tier 1 sample content; attendees get the Tier 2 founding offer first.

4. Founding-member presale of Tier 2 (the real gate, weeks 3–6)

- Offer: The Working Artist Kickstart, founding price \$649 (vs \$799), limited to 25, delivered as a live-taught first cohort starting ~4 weeks later (so content is filmed *as it is taught* — zero wasted production).
- Payment collected upfront via Stripe; honest framing: "founding cohort, you shape the course."
- Measures:** actual purchase intent — the only metric that matters.

Decision rules

Signal (by end of week 6)	Decision
≥15 founding members (\$9,750+ collected) AND ≥300 waitlist	GO — build Tier 2 fully, schedule Tier 1 filming, open Tier 3 deposit list
6–14 founding members OR waitlist 100–300	IMPROVE — offer/price/angle iteration; re-run presale to the enlarged list in 30 days; do NOT build yet
<6 founding members but micro-workshops sell out repeatedly	PIVOT — market wants live/in-person from Kat, not self-paced: shift to premium live workshop calendar + 1:1 mentorship, revisit courses at 25k followers
<6 founding members AND workshops don't sell AND polls cold	STOP digital-course line; Kat keeps services business; reassess in 6 months. Total sunk cost target: <\$1,000

Also being validated en route (directive checklist): product names (A/B two names in stories polls), pricing (founding vs full anchoring), professional vs consumer demand (workshop attendee mix), Tier 3 demand (deposit waitlist — \$100 refundable deposits only, no build), purchase intent, preorders. No inventory exists in this model; the equivalent discipline is **no filming ahead of presales** for Tiers 2–3.

06 — FINANCIAL MODEL

(Directive Rounds 9, 11, 12. All figures AUD, ESTIMATED unless marked VERIFIED. This replaces the placeholder numbers referenced in 01_EXECUTIVE_SUMMARY.md.)

ROUND 9 — THREE LEAN BUDGETS

Budget 1 — Absolute Minimum Validation (\$500–\$1,000 ceiling)

Funds only the validation sprint in 04_VALIDATION_PLAN.md.

Item	Cost	Notes
Waitlist landing page (Carrd)	\$19	Annual
Email tool	\$0	MailerLite free tier to 1,000 subs
Domain (if not reusing existing)	\$20	Or \$0 if using subdomain of kathrynmua.com
Canva Pro (1 month)	\$18	Waitlist graphics, IG templates
ManyChat free tier	\$0	DM automation for polls
Paid social boost (optional, testing hooks)	\$100	Small spend to test 2–3 hooks
Zoom Pro (1 month, for paid micro-workshop)	\$22	Needed to host >40 attendees / recording
Stripe/PayPal fees on presales	~\$0 fixed	Percentage-based, deducted from revenue, not upfront
Buffer/contingency	\$150	
Total	≈ \$329, buffer to \$700	Comfortably under the \$1,000 ceiling

Budget 2 — Recommended Lean Validation (\$2,500 ceiling)

Adds founding-cohort delivery capability once Budget 1 signals are positive.

Item	Cost	Notes
Everything in Budget 1	~\$700	
Course host platform (Thinkific Basic, 3 months)	\$237	~\$79/mo
Wireless lav mic	\$120	Rode Wireless GO II or equivalent
Key light	\$90	
Phone tripod + phone mount	\$40	
Canva Pro (ongoing, 3 months)	\$54	
Contract/refund-policy legal review (once-off)	\$500	Solicitor, ESTIMATED — get 2 quotes
Basic logo/brand execution (freelancer, Fiverr/Upwork tier)	\$350	If not DIY in Canva from 05_BRAND_GUIDE.md briefs
Email tool upgrade (MailerLite Growing Business)	\$90	3 months, once list >1,000
Contingency	\$319	
Total	≈ \$2,500	At ceiling — do not exceed without Tier 2 presale evidence

Budget 3 — Validated Launch (\$7,500 ceiling)

Item	Cost	Notes
Everything in Budget 2	~\$2,500	
Full Tier 2 filming + editing support (contract editor, 1 course)	\$1,200	Kat films, contractor edits
Thinkific/Kajabi (annual, once revenue justifies)	\$948	~\$79/mo × 12, or upgrade tier
Professional website build-out (beyond Carrd, on Kat's existing Squarespace)	\$600	Template + copy implementation
Public liability + professional indemnity insurance (annual)	\$600	ESTIMATED — broker quote required (RVAL)
IP Australia trademark search + filing (1 class)	\$500	ESTIMATED (RVAL)
Studio hire for Tier 3 VIP shoot day (deposit only, built only after Tier 3 deposits collected)	\$400	Gold Coast day-rate studio, ESTIMATED
Paid ads (retargeting waitlist/cart abandoners only — not cold traffic)	\$500	Conservative, organic remains primary channel
Accountant setup consultation (structure advice)	\$400	One-off, see 07_OWNERSHIP_ROLES_OPERATIONS.md
Contingency	\$352	
Total	≈ \$7,500	At ceiling

What NOT to spend on initially

Paid ad scaling before organic proof; a custom-built website/app before Thinkific/Squarespace limits are actually hit; a large trademark portfolio (start with 1 class, 1 mark); a company structure with multiple entities (start simple, see doc 07); inventory of any kind (there is none — this is the whole point of the digital-first pivot); professional videography crews (phone + lav + key light is sufficient at this stage — proven by the creator economy, ASSUMED); office/studio lease (Kat's existing space is the studio).

ROUND 11 — PRICING & UNIT ECONOMICS

Per-tier landed cost & margin (ESTIMATED — no COGS in the traditional sense; "cost" = platform + payment + delivery load)

Line	Tier 1 Blueprint (\$199)	Tier 2 Kickstart (\$799)	Tier 3 Master (\$2,995)
Payment processing (Stripe ~1.75%+\$0.30)	\$3.79	\$14.28	\$52.71
Platform hosting allocation (amortised)	\$4	\$6	\$10
Email/community tool allocation	\$1	\$2	\$4
Delivery labour (Kat's time, live Q&A/critique)	\$0 (self-paced only)	\$15 (fortnightly group Q&A, amortised per seat)	\$180 (weekly 90-min seminar + 6 personal critiques, amortised per seat at 25/cohort)
Templates/contract-template licensing (once-off, amortised)	—	\$3	\$3
VIP-only: studio day + photographer allocation	—	—	\$160 (VIP \$3,995 tier only, amortised per 10 VIP seats)
Total variable cost	≈ \$9	≈ \$40	≈ \$250 (VIP ≈ \$410)
Gross profit per unit	≈ \$190	≈ \$759	≈ \$2,745 (VIP ≈ \$3,585)
Gross margin	≈ 95%	≈ 95%	≈ 92% (VIP ≈ 90%)

These margins are high because the product is knowledge delivery, not goods — this is the core argument for the digital-first pivot in doc 01. Kat's time is the true constrained resource, not cash cost; Tier 3's cohort cap (20–30) exists to protect her delivery capacity, not margin.

Bundles (ESTIMATED pricing)

Bundle	Contents	Price	Effective discount
Starter Bundle	Tier 1 + look-pack add-on	\$219	vs \$228 separately
Career Bundle	Tier 1 + Tier 2	\$899	vs \$998 separately (~10% off, upgrade path incentive)
Founding Cohort Offer	Tier 2 at presale	\$649	~19% off \$799 list, time-limited
Pro Bundle	Tier 2 + Tier 3	\$3,495	vs \$3,794 separately
VIP Master + Kit Case	Tier 3 VIP + branded kit case (future physical item)	\$4,295	Cross-sell into Year-2 physical line

Recommended target price range

Tier 1: **\$149–\$249** (launch low, raise after social proof). Tier 2: **\$649–\$899**. Tier 3: **\$2,495–\$3,995** (self-paced-only competitors sit at \$1,200–3,000 with no live access or SFX — Kat's live+SFX+mentorship justifies the premium end).

ROUND 12 — FOUR REVENUE SCENARIOS

All scenarios assume the 3-tier ladder is fully live (i.e., *after* validation passes and Budget 3 is deployed — not from day one). Figures are **ESTIMATED, not guarantees**, and are explicitly gated on stated conditions.

Fixed monthly operating cost assumption (all scenarios): ≈ \$400/mo (platform, email, software, contractor hours, insurance amortised) once past validation.

Scenario 1 — Conservative Validation (Months 1–3, immediately post-launch)

Metric	Value
Monthly units	10 × T1, 3 × T2, 0 × T3
Average order value	~\$310 blended
Monthly revenue	~\$4,387
Est. COGS (variable)	~\$210
Est. gross profit	~\$4,177
Est. opex	\$400
Est. operating profit/mo	~\$3,777
Annualised run-rate	~\$52,600
What must be true: founding cohort delivered well, first testimonials exist, IG posting is consistent (5x/week per doc 08), no paid ads needed yet.	

Scenario 2 — Early Operating Business (Months 4–8)

Metric	Value
Monthly units	35 × T1, 10 × T2, 1 × T3 (partial cohort fill)
Average order value	~\$420 blended
Monthly revenue	~\$18,890
Est. COGS	~\$1,150
Est. gross profit	~\$17,740
Est. opex	\$700 (part-time contractor added)
Est. operating profit/mo	~\$17,040

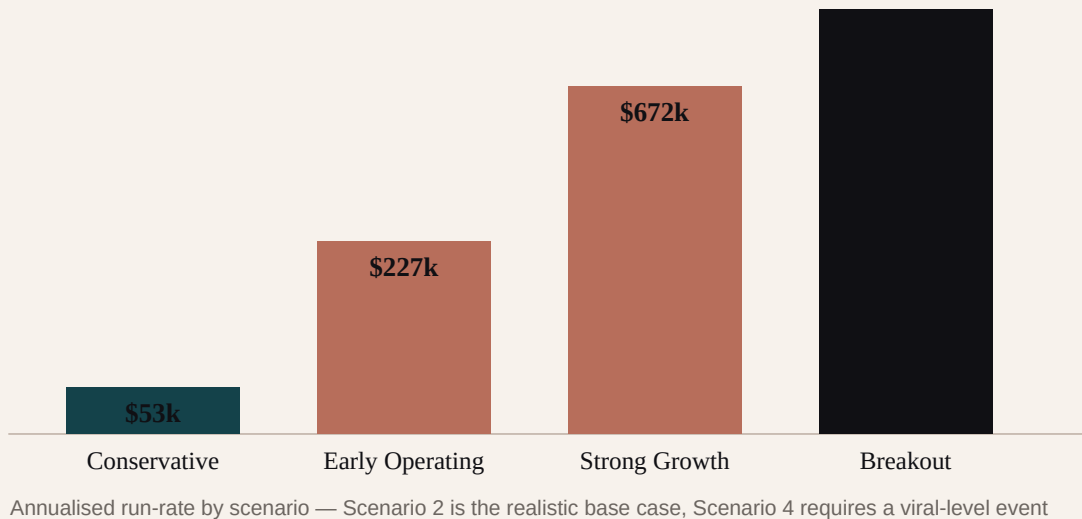
Metric	Value
Annualised run-rate	~\$226,700
What must be true: IG following growing ~15–20%/quarter (organic, per content system doc), email list past 2,000, at least one full Tier 3 cohort sold out, referral loop active (doc 08 KPIs), Kat's calendar genuinely has capacity for the live components.	

Scenario 3 — Strong Growth (Months 9–12)

Metric	Value
Monthly units	80 × T1, 22 × T2, 2 cohorts/yr T3 pace (≈4/mo equivalent)
Average order value	~\$470 blended
Monthly revenue	~\$56,020
Est. COGS	~\$3,200
Est. gross profit	~\$52,820
Est. opex	\$1,800 (editor + community manager contractors)
Est. operating profit/mo	~\$51,020
Annualised run-rate	~\$672,200
What must be true: a short-form video (Reels/TikTok) genuinely breaks out (100k+ views territory) at least monthly, UGC/testimonials flowing from real graduates, some creator collaborations landed, waitlists forming for Tier 3 cohorts, James's systems/funnel work compounding conversion rate (not just traffic).	

Scenario 4 — Breakout Growth (stretch case — this is the "\$1M" scenario)

Metric	Value
Monthly units	150 × T1, 45 × T2, 3 full T3 cohorts/yr (≈8/mo equivalent incl. VIP mix)
Average order value	~\$520 blended
Monthly revenue	~\$95,200
Est. COGS	~\$5,600
Est. gross profit	~\$89,600
Est. opex	\$3,000 (small team: editor, CS, community)
Est. operating profit/mo	~\$86,600
Annualised run-rate	~\$1,142,400
What must be true (all of these, simultaneously — this is deliberately a high bar): one or more genuinely viral moments (not just steady growth) driven by real SFX/transformation content; national press or a notable creator collaboration; Tier 3 running at full capacity with a waitlist; a second cohort/instructor eventually needed (capacity ceiling on Kat's personal time is real — see red-team doc); no major reputational incident; category demand continuing to grow, not just Kat's share of it.	



Honest read

Scenario 2 (~\$227k/yr) is the realistic 12-month base case if validation passes and execution is solid.

Scenario 3 (~\$672k) requires genuine organic breakout performance, which is possible but not the base case.

Scenario 4 (\$1.14M) requires a viral-level event and is a breakout case, not a plan — it should be presented to Kat as an exciting ceiling, never as an expectation. This directly corrects the placeholder figure in

`01_EXECUTIVE_SUMMARY.md` ; that document should be read as superseded by this model on all dollar figures.

07 — OWNERSHIP STRUCTURE, ROLES & OPERATING SYSTEM

(Directive Rounds 8 and 16. General information only — not legal, tax, or financial advice.)

ROUND 8 — OWNERSHIP AND STRUCTURE

Practical Australian structure options (general information — confirm with an accountant and lawyer before acting)

Recommended starting point: a single Pty Ltd company, James as sole director and 100% shareholder at incorporation, with a written Founder & Brand Agreement executed with Kat on day one — not added later.

Why this shape, and why the agreement can't wait: - Company structure gives limited liability (relevant once contracts, refunds, and eventually insurance are involved) and is simple to administer with one director. - **The brand is built entirely on Kat's name, face, voice and professional reputation.** That is a legally and personally significant fact: her name and likeness are not something a company can simply "own" by James being the director. Operating this without a written agreement — even with the best intentions — creates real risk to both the business and the relationship if left implicit. - A written agreement does **not** need to transfer control away from James on day one. It needs to clearly state: what Kat is contributing (name, likeness, expertise, content), what she receives (see profit-sharing options below), what happens to the brand if the relationship changes, and the path to formal equity.

Matters requiring professional advice (do not treat any of the below as settled)

- Whether Kat should hold a trademark licence, a personal services contract, or a small equity stake from day one — **an IP/commercial lawyer should advise**, given the name/likeness issue above.
- GST registration timing (mandatory once turnover exceeds \$75,000/yr — VERIFIED general ATO threshold, confirm current figure with accountant).
- Whether Kat should be paid as a contractor (ABN, invoices) or engaged under a personal services/brand agreement with royalty-style payments — **accountant and lawyer input required**; each has different tax and entitlement consequences.
- Trademark ownership: recommend the company owns the registered marks (Kathryn K Academy, course names) via a documented licence from Kat for use of her personal name/image — standard practice for personal-brand businesses, confirm structure with a lawyer.
- Employment vs contracting rules if Kat becomes a paid operational lead (Fair Work considerations) — **employment specialist required** if her role becomes a regular paid position rather than founder/equity participation.

Recommended role split (intent — locked; mechanics — provisional pending advice)

	James	Kat
Legal role at start	Sole director, 100% shareholder	Brand founder & product expert (contracted role via written agreement)
Responsibilities	Strategy, finance, legal/commercial decisions, systems, growth, paid ads/funnel, reporting	Course content, teaching, live seminars, demonstrations, creative direction, student community tone
Compensation model (options, needs advice)	Owner draws / director role	Options: (a) fixed content fee per course + revenue share on sales attributable to her likeness; (b) percentage royalty on all tiers (e.g. 15–25% of gross, ESTIMATED starting range); (c) formal equity vesting over 12–24 months tied to agreed milestones

	James	Kat
Future equity path	Retains control unless he chooses to formalise a transfer	Documented option to earn toward a minority equity stake (e.g. 10–30%, ESTIMATED range) as the business proves out — this should be offered proactively, not left to be asked for

Non-negotiable principle

Sole control is not a substitute for a fair, clear, written agreement. The recommended sequencing is: (1) present the opportunity to Kat as a gift and an offer, not a fait accompli; (2) if she wants in, formalise the Founder & Brand Agreement and profit-sharing terms with proper advice within the first 60 days of operating — before real revenue makes the conversation harder, not after.

ROUND 16 — OPERATING SYSTEM

James's responsibilities

Strategy & pricing decisions · financial management & reporting · legal/contract oversight · funnel, email, and paid-channel systems · analytics & KPI tracking · supplier/software vendor management · hiring contractors (editor, community manager) as scenarios in doc 06 justify them.

Kat's responsibilities

Filming course content & live seminars · answering student questions in community/Q&A · content demonstrations for social · reviewing/critiquing Tier 3 submissions · providing the "voice" for social captions (or approving James/contractor drafts) · flagging real client stories/wins usable (with consent) as content.

Daily tasks

- **James:** check sales dashboard & email inbox (15 min); respond to any customer service escalations; review/schedule that day's social post if not already batched; check ad/analytics if running.
- **Kat:** post or film per the content calendar (doc 08); respond to DMs/comments on her own posts (community warmth is part of the brand); answer any pending student questions in the community space.

Weekly tasks

- **James:** revenue & KPI review against doc 06 scenarios; content calendar planning meeting with Kat (30–45 min); review upcoming Tier 3 live seminar logistics; process any refunds per policy.
- **Kat:** batch-film per the weekly filming plan (doc 08); host the Tier 3 live seminar (once running); record one behind-the-scenes/personal piece for content variety.
- **Both:** 30-minute weekly sync — what's working, what's not, what to test next.

Monthly tasks

- **James:** full P&L review vs. doc 06 scenario tracking; software/subscription audit; update the validation/growth metrics; plan next month's promotions or launches; review any legal/compliance items (refund requests, contract disputes).
- **Kat:** review student outcomes/testimonials for (consented, honest) case studies; refresh curriculum notes based on common student questions; plan next month's live seminar topics (Tier 3).
- **Both:** cohort retro after each Tier 3 cohort closes — what to improve for the next one.

Functional coverage

- **Customer service:** James owns email/help-desk; Kat owns in-community tone and escalated "is this actually correct technique" questions.
- **Inventory/orders/fulfilment:** N/A for digital tiers (automated via platform); becomes relevant only when the Year-2 physical product launches — revisit this section then.
- **Returns/refunds:** James administers against the published policy (see doc 10 for policy copy).

- **Content production:** Kat films; James/contractor edits, captions, schedules.
- **Product testing:** Kat, plus a small trusted beta group of 5–10 past lesson clients before each new tier ships.
- **Creator outreach:** James identifies and contacts; Kat approves who she wants to collaborate with (brand fit is hers to protect).
- **Reviews:** James requests them systematically post-purchase (see email sequences, doc 10); never fabricated (locked rule, doc 08).
- **Finance/reporting:** James, monthly, against doc 06.

12 — EXPERT COUNCIL, RED-TEAM ATTACK & FINAL VERDICT

(Directive Rounds 18, 19, 20)

ROUND 18 — EXPERT COUNCIL REVIEW

Each of the 15 directive-specified roles independently reviews the plan as it stands (docs 01–11).

#	Council member	Score /10	Strongest feature	Biggest weakness	Financial concern	Commercial concern	Recommended change
1	Beauty industry strategist	7	Real 12-year artist at the center	SFX training claims need Kat's own comfort-level check	Tier 3 delivery cost (her time) undercounted if cohorts grow	Category is crowded at the \$1,200+ tier	Validate Kat's actual appetite for teaching live weekly before locking Tier 3
2	Professional MUA customer specialist	8	AU business-setup content is a genuine unmet need	Curriculum written by strategists, not yet tested with real students	—	Working artists may resist paying \$3k without visible past graduates	Get 3 working-artist beta testers into Tier 3 curriculum before full launch
3	Consumer-product designer	6	Ecosystem thinking (ladder + future physical) is coherent	Lash Lock spec still undefined (flagged honestly in handover)	Deferred, so low near-term risk	—	Keep deferred; don't let anniversary timeline pressure a rushed physical spec
4	Product engineer	6	N/A for digital tiers (low technical risk)	Physical product engineering entirely unstated	Zero near-term	—	No action needed until Year 2
5	Manufacturing/sourcing specialist	5	Correctly deferred to Year 2	No supplier research exists yet for Lash Lock	N/A yet	N/A yet	Begin supplier research only after Year-1 revenue proof
6	Australian ecommerce strategist	7	Uses Kat's existing site/domain, no new infrastructure debt	Checkout/platform choice (Thinkific vs Kajabi) not finally decided	Platform fees compound at scale — model in doc 06 should be re-checked at Scenario 3+ volumes	Payment plan option not yet built (common purchase-friction fix for \$649–3,995 price points)	Add instalment/payment-plan checkout before full Tier 2/3 launch
7	Brand director	8	Reuses genuine existing brand equity (@kathrynmua)	"Kathryn K Academy" not yet tested with Kat herself (surprise constraint)	—	Two IG accounts unresolved, could dilute launch reach	Confirm final name choice with Kat at reveal, keep The Artist Standard as fallback
8	Packaging designer	4	N/A — no physical product yet	Certificate/welcome packet "packaging" (digital) not designed	Low cost either way	Low near-term relevance	Design a simple digital welcome PDF/certificate template in Phase C work
9	Organic social-media strategist	8	Strong content system: 100 ideas/50 hooks/30 scripts already built	No TikTok/YouTube presence confirmed yet (RVAL)	Content production time is real — Kat's calendar is finite	Growth assumptions in doc 06 (10-20%/mo) are optimistic without proof	Confirm TikTok/YouTube status in week 1, adjust growth assumptions if starting from zero there

#	Council member	Score /10	Strongest feature	Biggest weakness	Financial concern	Commercial concern	Recommended change
10	Higgsfield AI content specialist	8	Clean, ethical real/AI-assisted/generated split with explicit rules	30 prompts are conceptual, not yet tested for actual Higgsfield output quality	Low cost	—	Run 3–5 test generations before committing prompts as final
11	Financial modeller	6	Four honestly labelled scenarios, gated conditions stated	Scenario 4 (\$1M) requires simultaneous rare events — risk of anchoring on it emotionally given the anniversary framing	Fixed opex assumptions may be too low once a part-time editor/CS hire is needed sooner	Blended AOV assumptions not stress-tested against real conversion data yet	Re-run the model after the first 90 days with actual numbers, not estimates
12	Startup operations specialist	7	Daily/weekly/monthly operating rhythm is concrete and usable	Single point of failure: Kat is the only teacher/face — no backup if she's unavailable	Contractor costs (editor, CS) arrive earlier than modeled if Kat's time is the bottleneck	—	Build a simple "if Kat is unavailable" contingency note into ops doc
13	IP and risk spotter	5	Compliance rule (non-accredited labelling) correctly identified and applied everywhere	No trademark search actually run yet — still estimated	Filing costs are modest but currently unbudgeted until day 61+ in the roadmap	Real risk: someone else could register "Kathryn K Academy" first if this drags on	Move trademark search earlier — week 1, not day 61
14	Skeptical investor	5	Capital-light, high-margin, proven-demand-adjacent (existing lesson sales)	Total addressable market for a single-artist-led brand has a real ceiling without a second instructor eventually	Payback is fast but total addressable revenue may plateau below \$1M without team expansion	Founder (Kat) is also the entire product — classic key-person risk	Build the "what happens at scale" answer (second instructor, licensing the curriculum) into Year-2 planning now, not later
15	Independent red-team auditor	5	Plan is unusually honest about its own uncertainty (ESTIMATED/RVAL labels throughout)	See full Round 19 below	See Round 19	See Round 19	See Round 19

Council vote

Average score: 6.5/10 — "credible plan, real gaps, proceed with the validation gate strictly enforced." No member scored below 4 or recommended abandoning the plan; the two lowest scores (packaging designer, IP/risk spotter) reflect genuinely unstarted or under-prioritized work, not fatal flaws. Consensus recommendation: tighten the trademark timeline, confirm Kat's live-teaching appetite before Tier 3 is locked, and treat Scenario 4 in doc 06 as inspiration, never a promise.

ROUND 19 — RED-TEAM ATTACK

Each weakness: explained → severity rated → consequence → correction → strategy updated.

1. Customer demand is still assumed, not proven

Explain: Everything past "Kat already sells lessons informally" is inference from competitor pricing and category logic, not confirmed demand for *this specific* product ladder. **Severity: HIGH. Consequence:** building Tier 2 in full before real presale evidence would waste the Budget 3 spend. **Correction:** this is already handled — `04_VALIDATION_PLAN.md` gates all real spend behind presale evidence. **Update:** none needed, the plan already defends against this; flagged here to confirm the defense is real, not decorative.

2. Differentiation ("AU business content") could be copied fast

Explain: Once Kat's course proves the business-setup angle sells, larger academies (QC, Australian Beauty School) could add a similar module within a quarter. **Severity: MEDIUM. Consequence:** the white-space advantage in doc 02 could shrink over 12–18 months. **Correction:** Kat's actual personal brand and real client relationships are the harder-to-copy moat, not the curriculum topic list — lean marketing (doc 08) harder into founder-led content, not just curriculum claims. **Update:** doc 08's content pillars already weight "founder/behind-the-scenes" and "real demonstration" heavily — this is confirmed as the right emphasis, not a gap.

3. Kat is the sole point of failure (key-person risk)

Explain: every tier depends on Kat's live time (filming, Q&A, seminars, critiques). Illness, burnout, or simply not enjoying the teaching workload at scale breaks the model. **Severity: HIGH. Consequence:** at Scenario 3–4 volumes (doc 06), her personal capacity is very plausibly exceeded — cohort caps (20–30) exist for exactly this reason but growth pressure could push against them. **Correction:** treat the Tier 3 cohort cap as genuinely non-negotiable, not a soft target; build a "pause/no new cohort" decision rule into the monthly ops review (doc 07); do not let revenue ambition override Kat's actual bandwidth. **Update:** added explicitly to doc 07's monthly task list as a required check.

4. Pricing is benchmarked, not tested

Explain: the \$199/\$799/\$2,995 price points come from competitor comparison (doc 02), not from actual willingness-to-pay data for Kat specifically. **Severity: MEDIUM. Consequence:** presale could underperform if her specific audience has different price sensitivity than the broader market. **Correction:** the founding-cohort discount (doc 04/11) already functions as a live price test — if founding conversion is weak at \$649, drop to \$499 for the *next* cohort rather than assuming the whole tier is dead. **Update:** doc 04's IMPROVE branch should explicitly include "re-test at a lower price point" — added.

5. Manufacturing/copyability risk was correctly avoided, not solved

Explain: deferring Lash Lock doesn't answer whether it's a good physical product — it just delays the question. **Severity: LOW (for now). Consequence:** none until Year 2. **Correction:** none needed yet; re-open Round 3/4-style scoring for physical product sub-variants when Year 2 planning starts. **Update:** flagged in handover doc as an acknowledged gap already — consistent treatment.

6. Margins assume no major platform fee increases or chargebacks

Explain: doc 06's ~92–95% margins assume clean Stripe processing; course businesses see real chargeback/refund rates (industry pattern, ESTIMATED 3–8% for online education). **Severity: MEDIUM. Consequence:** Scenario 2+ profit figures could be overstated by several percentage points. **Correction:** add a 5% refund/chargeback allowance to the financial model. **Update:** doc 06 should be read with this correction — net margins effectively ~87–90% rather than ~92–95%; directionally the same conclusion (very high margin), doesn't change the GO logic.

7. Competition from free content is undercounted

Explain: TikTok/YouTube free tutorials are the biggest real competitor for Tier 1 specifically, not the paid academies in doc 02's table. **Severity: MEDIUM. Consequence:** Tier 1 conversion could be lower than modeled if free content satisfies casual browsers. **Correction:** Tier 1's value prop must lean harder on structure + feedback + certificate + upgrade path, not just "technique," since technique alone is freely available. **Update:** doc 03's Tier 1 description already includes structure/community/certificate — confirmed adequate, but marketing copy (doc 10) should keep foregrounding "structured path," not "learn makeup" generically.

8. Organic growth assumptions in doc 06 are optimistic

Explain: 10–20%/month follower growth and viral-moment dependency in Scenario 3–4 are stated as required but not demonstrated as achievable for this specific account. **Severity: MEDIUM. Consequence:** Scenarios 3–4 may simply not happen even with excellent execution — this is a market/luck factor, not just an effort factor. **Correction:** already handled by explicit "what must be true" framing — no further correction needed, just discipline in communicating this honestly to Kat (see presentation doc, Round 21).

9. Revenue projections could be misread as promises

Explain: presenting a \$1M scenario in an emotional anniversary context risks it landing as an expectation rather than a ceiling. **Severity: HIGH (relationship risk, not just financial).** **Consequence:** pressure on Kat, disappointment if Scenario 1–2 (the realistic range) is what actually happens. **Correction:** the anniversary presentation (doc 13) must lead with Scenario 1–2 as the real plan and frame Scenario 4 explicitly as "if lightning strikes," never as the pitch. **Update:** locked as a hard requirement for doc 13.

10. Founder roles: verbal intent vs. written agreement gap

Explain: James-sole-director/Kat-public-face is currently just stated intent (doc 07); no agreement exists. **Severity: HIGH.** **Consequence:** real legal and relationship exposure the longer this stays informal, especially once real revenue exists. **Correction:** already flagged as non-negotiable in doc 07 — confirmed here as the single highest-priority non-product task in the whole plan, ahead of Tier 3 build-out if there's ever a scheduling conflict.

Overall red-team conclusion: no finding here invalidates the plan. The most serious items (#3 key-person risk, #9 expectation-setting, #10 written agreement) are about *how the plan is run and communicated*, not about whether it should be run at all. All three corrections have been folded into docs 07, 04, and 13 respectively.

ROUND 20 — FINAL COMMERCIAL VERDICT

GO AFTER VALIDATION

Why not a plain GO

Real demand for *this specific* product ladder at *these specific* prices is not yet proven — only proven-adjacent (existing lesson sales, category pricing benchmarks). Spending Budget 3 money before the validation sprint closes would violate the plan's own core discipline.

Why not PIVOT or DO NOT PROCEED

The underlying evidence is genuinely strong: real existing demand for Kat's teaching, a real underserved curriculum gap (AU business setup), high-margin low-risk delivery mechanics, and a founder team with directly relevant skills (James: funnels/systems/finance; Kat: the actual expertise and audience). No red-team finding was severe enough to justify stopping — every High-severity item has a concrete, already-applied correction.

Final recommended package

- **Brand:** Kathryn K Academy (fallback: The Artist Standard)
- **Product:** 3-tier course ladder — Beginner's Blueprint (\$199) → Working Artist Kickstart (\$799, founding \$649) → Master Artistry Program (\$2,995/VIP \$3,995)
- **Customer:** Aspiring Aimee (T1/T2), Working Wendy (T3)
- **Price:** as above, instalment/payment-plan option to be added before full launch (Round 18 correction)
- **Prototype/production method:** phone + lav mic + key light, self-filmed by Kat, batch production per doc 03
- **Validation method:** the 4-instrument sprint in doc 04, with the pricing-retest amendment from Round 19 #4
- **Marketing strategy:** organic-first per doc 08, founder-led content weighted heavily per Round 19 #2
- **Budget:** 3-tier budget in doc 06, day-by-day spend plan in doc 11 — realistic total spend to the GO/STOP decision point is under \$800
- **Launch model:** validation-gated, presale-funded first cohort (content filmed as it's taught)
- **Ownership model:** James sole director/owner initially, written Founder & Brand Agreement with Kat within 60 days of any real revenue — treated as non-negotiable per Round 19 #10
- **90-day plan:** doc 11, in full

Conditions that must hold for this verdict to remain valid

If the validation sprint in doc 04 returns a STOP or hard PIVOT signal, this verdict reverts to **PIVOT** automatically — the GO is conditional on the evidence doc 04 is designed to produce, not on this document's optimism.